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Faculty **HOD** 20/03/2023 **Dean Academics** 20/03/2023

MANAGERIAL ECONOMICS AND FINANCIAL ACCOUNTING (MEFA)

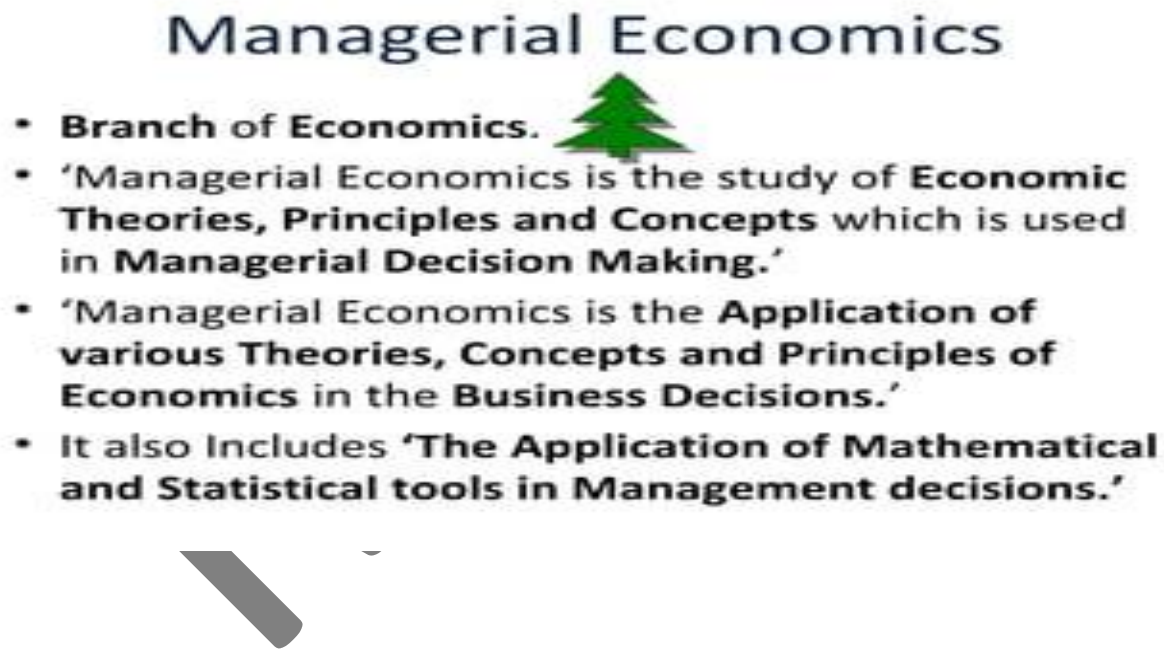
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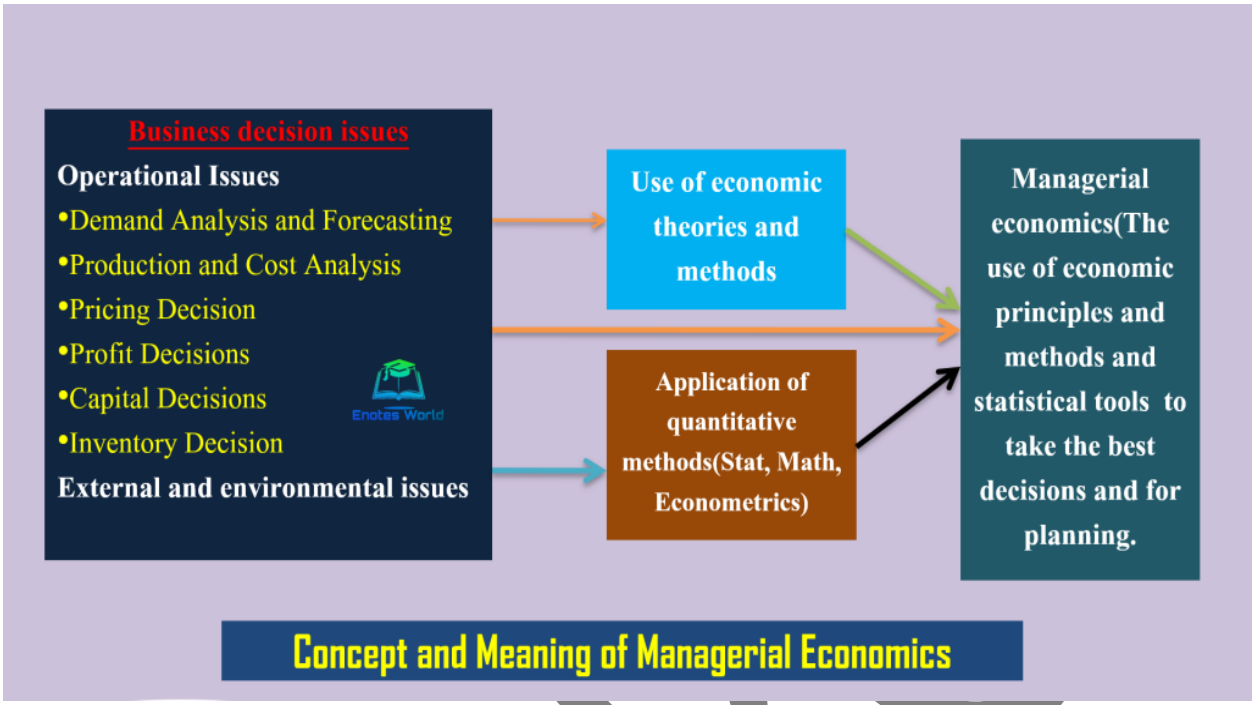
LECTURE: - 1

INTRODUCTION OF MANAGERIAL ECONOMICS - MEANING AND NATURE OF ECONOMICS

Definition of Managerial Economics

Managerial economics is defined as the branch of economics which deals with the application of various concepts, theories, methodologies of economics to solve practical problems in business management.





Characteristics of Managerial Economics

We will now look at the characteristics of managerial economics in brief.

1. **Art and Science**

Managerial Economics requires a lot of creativity and logical thinking to come up with a solution. A managerial economist should possess the art of utilizing his capabilities, knowledge, and skills to achieve the organizational objective. Managerial Economics is also considered as a stream of science as it involves the application of different economic principles, techniques, and methods, to solve business problems.

2. **Microeconomics**

In managerial economics, problems of a particular organization are looked upon rather than focusing on the whole economy. Therefore it is termed as a part of microeconomics.

3. **Uses Macroeconomics**

Any organization operates in a market that is a part of the whole economy, so external environments affect the decisions within the organization. Managerial

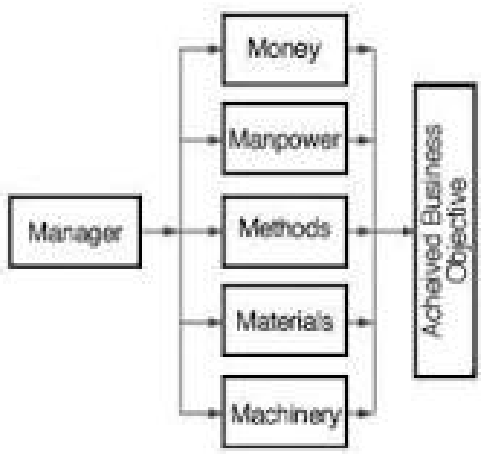
Economics uses the concepts of macroeconomics to solve problems. Managers analyze the macroeconomic factors like market conditions, economic reforms, government policies to understand their impact on the organization.

4. **Multi-disciplinary**

Managerial Economics uses different tools and principles from different disciplines like accounting, finance, statistics, mathematics, production, operation research, human resource, marketing, etc. This helps in coming up with a perfect solution.

5. **Management oriented**

Managerial economics is a tool in the hands of managers that aids them in finding appropriate solutions to business-related problems and uncertainties. As mentioned above, managerial economics also helps in goal establishment, policy formation, and effective decision making. It is a practical approach to find solutions.



Five M's Showing Resources

Economics = "*Balancing between unlimited wants & limited resources for the purpose of maximum satisfaction*"

Economics is the study of the processes by which the relatively scarce resources are allocated to satisfy the competing unlimited wants of human beings in a society.

Every individual, every society and every country in this world faces the problem of choice this is because of two facts-

(i) 'Human beings have unlimited wants'; and

(ii) 'The means to satisfy these unlimited wants are relatively scarce' form the subject matter of Economics.

Managerial Economics

Formula of Managerial economics = Management + Economics+ Decision Making

Here Decision making = Evaluation of available alternatives and selection of best alternative

Meaning of Managerial Economics

It is process of evaluation of available alternatives and selection of best alternative by balancing between unlimited wants and limited resources for the purpose of achievements of objectives.

The tools of Economics assist in choosing the best course of action from among the different alternative courses of action available.

It would also provide us with a number of models and frameworks that can be applied in different situations.

Meaning of Business Economics/ Managerial Economics

Business Economics is also referred to as managerial economics. It is application of economic theory & methodology. Every business involves decisions making as survival & success depends on sound decisions.

Decision making means the process of-

-evaluating various course of action

-making rational judgment on the basis of available information and

-selecting I.e. making choice of a suitable alternative by decision maker.

Definitions of Business Economics/ Managerial Economics

Business economics may be defined as the use of economic analysis to make business decisions involving the best use of an organization's scarce resources.

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Joel Dean defined Business Economics in terms of the use of economic analysis in the formulation of business policies. Business Economics is essentially a component of Applied Economics as it includes application of selected quantitative techniques such as linear programming, regression analysis, capital budgeting, break even analysis and cost analysis.

The study of Economics will enable us to develop an analytical approach that helps us in understanding and analyzing a wide range of economic issues like changes in price of a commodity, changes in general price level of goods and services, level of unemployment etc.

PARTS OF ECONOMICS

Economics has been broadly divided into two major parts i.e.

(A) Micro Economics and

(B) Macro Economics.

(A) Micro Economics

Micro Economics is basically the study of the behavior of different individuals and organizations within an economic system. In other words, Microeconomics examines how the individual units make decisions as to how to efficiently allocate their scarce resources. Here, the focus is on a small number of or group of units rather than all the units combined, and therefore, it does not explain what is happening in the wider economic environment.

We mainly study the following in Micro-Economics:

(i) Product pricing;

(ii) Consumer behavior;

(iii) Factor pricing;

(iv) The economic conditions of a section of people;

(v) Behavior of firms; and

(vi) Location of industry.

Macro Economics is the study of the overall economic phenomena or the economy as a whole, rather than its individual parts. Accordingly, in Macro-Economics, we study the

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behavior of the large economic aggregates, such as, the overall levels of output, total consumption, total saving and total investment and also how these aggregates shift over time. It analyzes the overall economic environment in which the firms, governments and households make decisions. However, it should be kept in mind that this economic environment represents the overall effect of the innumerable decisions made by millions of different consumers and producers. A few areas that come under

(B) Macro Economics.

Macro Economics are:

(i) National Income and National Output;

(ii) The general price level and interest rates;

(iii) Balance of trade and balance of payments;

(iv) External value of currency;

(v) The overall level of savings and investment; and

(vi) The level of employment and rate of economic growth.

While Business Economics is basically concerned with Micro Economics, Macro economic analysis also has got an important role to play. Macroeconomics analyzes the background of economic conditions in an economy which will immensely influence the individual firm's performance as well as its decisions. Business firms need a thorough understanding of the macroeconomic environment in which they have to function.

Nature of Business Economics / Managerial Economics

The economic world is extremely complex as there is a lot of interdependence among the decisions and activities of economic entities. Economic theories are hypothetical and simplistic in character as they are based on economic models built on simplifying assumptions. The following points will describe the nature of Business Economics

1. Business Economics is a Science:

Science is a systematized body of knowledge which establishes cause and effect relationships. Business Economics integrates the tools of decision sciences such as Mathematics, Statistics and Econometrics with Economic Theory to arrive at

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appropriate strategies for achieving the goals of the business enterprises. It follows scientific methods and empirically tests the validity of the results.

2. Based on Micro Economics:

Business Economics is based largely on Micro-Economics. A business manager is usually concerned about achievement of the predetermined objectives of his organization so as to ensure the long-term survival and profitable functioning of the organization.

3. Incorporates elements of Macro Analysis:

A business unit does not operate in a vacuum. It is affected by the external environment of the economy in which it operates such as, the general price level, income and employment levels in the economy and government policies with respect to taxation, interest rates, exchange rates, industries, prices, distribution, wages and regulation of monopolies.

4. Business Economics is an art

As it involves practical application of rules and principles for the attainment of set objectives.

5. Use of Theory of Markets and Private Enterprises:

Business Economics largely uses the theory of markets and private enterprise. It uses the theory of the firm and resource allocation in the backdrop of a private enterprise economy.

6. Pragmatic in Approach:

Micro-Economics is abstract and purely theoretical and analyses economic phenomena under unrealistic assumptions. In contrast, Business Economics is pragmatic in its approach as it tackles practical problems which the firms face in the real world.

7. Interdisciplinary in nature:

Business Economics is interdisciplinary in nature as it incorporates tools from other disciplines such as Mathematics, Operations Research, Management Theory, Accounting, marketing, Finance, Statistics and Econometrics.

8. Normative in Nature:

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Economic theory has developed along two lines – positive and normative. A positive or pure science analyses cause and effect relationship between variables in an objective and scientific manner, but it does not involve any value judgment.

Career Options in Managerial Economics

Management economics is an important method for assessing the company's priorities and objectives, the organization's current role, and what the management can do to fill the void between the two.

Deriving from the definition of managerial economics, we have listed down the best options you can pursue in this field.

1. Banking Sector

Banking sector job profiles are financial analysts, consultants, financial advisers, investment bankers, environmental policymakers, development officers, or part of Research and Development.

2. Business Economist

They deal with various sectors and companies, and their main role is to serve as an intermediary between the corporate and the outside world.

3. Higher Studies

There are several programs and courses to procure a degree in managerial economics. You can acquire in-depth knowledge in this field by doing higher studies in this subject. Many renowned institutions offer such programs along with good placements. Having high-level knowledge can fetch your impeccable opportunities.

4. Credit and Risk Manager

They analyze the company's financial details and calculate the associated default risk to help the lender and the buyer.

5. Financial Controller / Economist

A Financial Controller or Economist is concerned with analyzing the day-to-day financial operations of an organization. He/she supervises the finance and accounting department and prepares financial reports.

6. Market Analyst

A Market Analyst analyses the market so that their employers can make a better decision concerning product launching or rendering services.

7. Operations Manager

From output to the review of statistics to educating new staff, an operations manager manages all day-to-day activities in the company and needs to ensure that the organization runs optimally.

8. Teaching

If you want to be a lecturer or become a senior economics teacher in private schools, apply for the NET / CTET exam in the field of education. After completing an M.A in Economics with a mark of at least 55 percent an applicant can either seek a Ph.D. at any college or appear for UGC-NET. The exam is administered by the NTA.

9. Equity Analyst

An equity analyst extracts equity information for investment purposes and explores stock market insights to identify where to invest or whether to proceed or sell on the market.

10. Cost Accountant

A Cost Accountant plans, studies, and records the costing concepts of an organization. He/she analyzes the fixed and variable costs to obtain the company's total cost. Cost Accountant is one of the exciting career options under the scope of managerial economics.

11. Economic Services of India

You can join the Economic Services of India. For joining this service, you have to appear for the Indian Economic Service Exam. You should have completed M.Sc or MA. in economics with at least 55 percent marks. The age range is from 21-30 years. UPSC administers the test.

12. Public Sector Banking Services

The Reserve Bank of India also recruits banking-sector economists through various recruitment exams. The age limit is 21-28 years.

13. Private and Foreign Banks

An Economics degree holder can try for both private and foreign banks. The Banking job categories are branch managers, clerks, economic analysts, planning and development officers, etc.

14. Agricultural Economist

Agricultural Economics is an advanced branch of Economics. An agricultural economist optimizes the production, distribution, and consumption of food and fiber products.

15. Agencies Worldwide

Experienced and professional economists in well-known international organizations such as the World Bank and the International Labor Organisation (ILO) can get great employment opportunities.

16. Work as an Advisor

Graduates in Economics can work as economic consultants independently. In the case of various scientific research and consulting in the private sector, companies can ensure optimal job opportunities. The position includes Economic Researcher, Business Economist, Investment Analyst, etc.

17. Entrepreneurship

Economists possessing a profound understanding of the market can create their own start-ups. They can evaluate the industry dynamics and competitive business sectors, and thereon design their business processes. Ultimately, they can achieve exponential growth by starting their own business. Besides, it will also aid the unemployment problems in the country by generating work opportunities.

18. Mass Media and Journalism

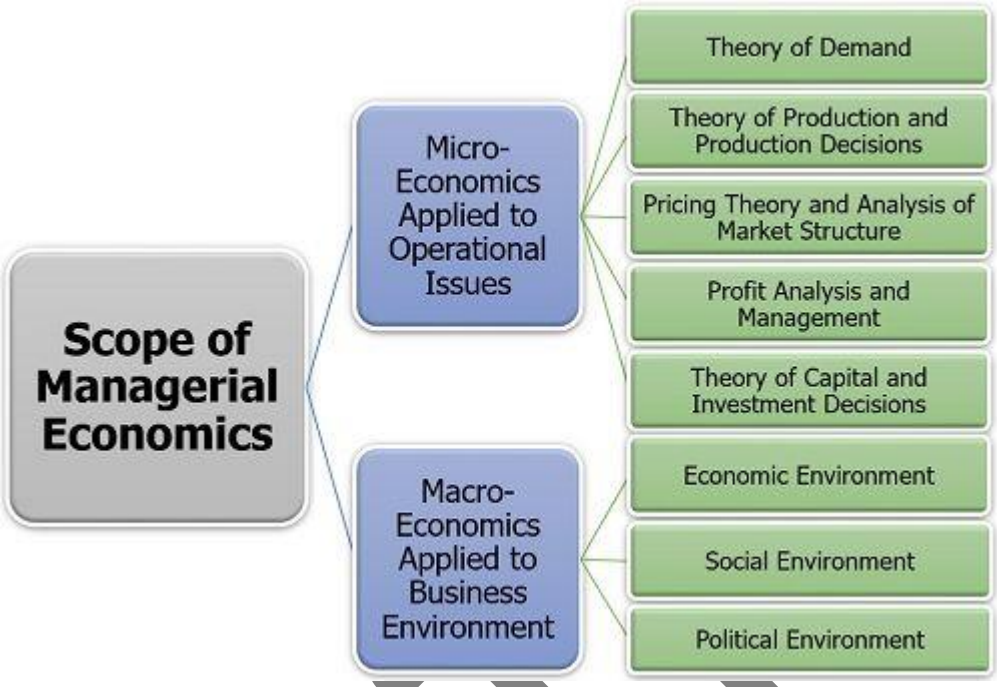
You can also join the news media by becoming an economic or editorial journalist. You can complete your graduation or post-graduation in mass communication and head towards joining mass media. Even if your educational discipline is different you can take up this option. By having the required knowledge and skills relating to this field, you can grow in your career exceptionally.

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LECTURE 2

SCOPE OF BUSINESS ECONOMICS/ MANAGERIAL ECONOMICS



The scope of Business Economics is quite wide. It covers most of the practical problems a manager or a firm faces. There are two categories of business issues to which economic theories can be directly applied, namely:

1. Microeconomics applied to operational or internal Issues

2. Macroeconomics applied to environmental or external issues

Therefore, the scope of Business Economics may be discussed under the above two heads.

1. Microeconomics applied to operational or internal Issues

Operational issues include all those issues that arise within the organization and fall within the purview and control of the management. These issues are internal in nature. Issues related to choice of business and its size, product decisions, technology and factor combinations, pricing and sales promotion, financing and management of investments and inventory are a few examples of operational issues.

The following Microeconomic theories deal with most of these issues

- ✓ **Demand analysis and forecasting**
- ✓ **Production and Cost Analysis**
- ✓ **Inventory Management**
- ✓ **Market Structure and Pricing Policies**
- ✓ **Resource Allocation**
- ✓ **Theory of Capital and Investment Decisions**
- ✓ **Profit Analysis:**
- ✓ **Risk and Uncertainty Analysis**

2. Macroeconomics applied to environmental or external issues

Environmental factors have significant influence upon the functioning and performance of business. The major macro-economic factors relate to:

- ✓ The type of economic system
- ✓ stage of business cycle
- ✓ The general trends in national income, employment, prices, saving and investment.
- ✓ Government's economic policies like industrial policy, competition policy, monetary and fiscal policy, price policy, foreign trade policy and globalization policies
- ✓ Working of financial sector and capital market
- ✓ Socio-economic organizations like trade unions, producer and consumer unions and cooperatives.
- ✓ Social and political environment.

Business decisions cannot be taken without considering these present and future environmental factors. As the management of the firm has no control over these factors, it should ne-tune its policies to minimize their adverse effect

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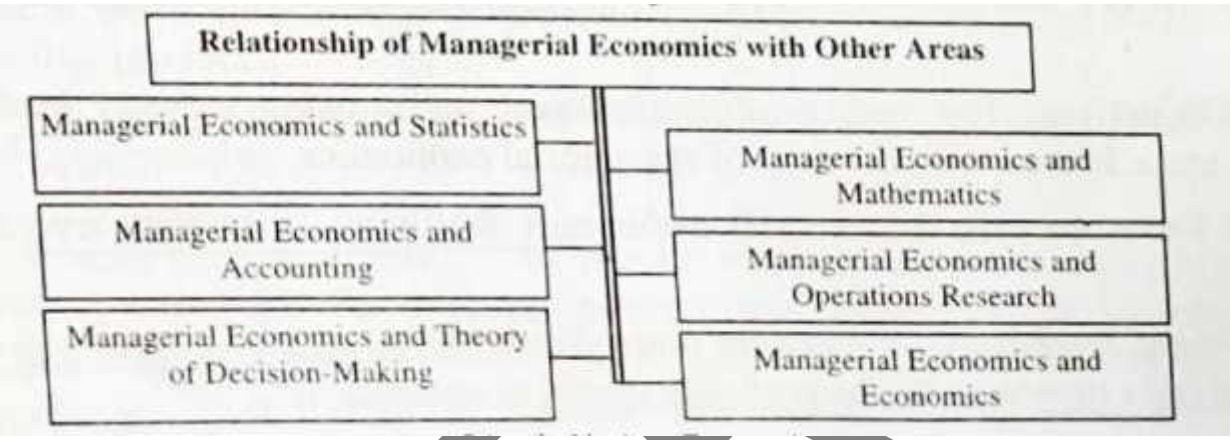
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LECTURE 3

MANAGERIAL ECONOMICS AND ITS RELATIONSHIP WITH OTHER DISCIPLINES



1. Managerial Economics and Theory of Decision Making:

The theory of decision making is relatively a new subject that has a significance for managerial economics. In the process of management such as planning, organising, leading and controlling, decision making is always essential. Decision making is an integral part of today's business management. A manager faces a number of problems connected with his/her business such as production, inventory, cost, marketing, pricing, investment and personnel.

Economist are interested in the efficient use of scarce resources hence they are naturally interested in business decision problems and they apply economics in management of business problems. Hence managerial economics is economics applied in decision making.

2. Managerial Economics and Operations Research:

Mathematicians, statisticians, engineers and others join together and developed models and analytical tools which have grown into a specialised subject known as operation research. The basic purpose of the approach is to develop a scientific model of the system which may be utilised for policy making.

The development of techniques and concepts such as Linear Programming, Dynamic Programming, Input-output Analysis, Inventory Theory, Information Theory, Probability Theory, Queuing Theory, Game Theory, Decision Theory and Symbolic Logic.

3. Managerial Economics and Statistics:

Statistics is important to managerial economics. It provides the basis for the empirical testing of theory. It provides the individual firm with measures of appropriate functional relationship involved in decision making. Statistics is a very useful science for business executives because a business runs on estimates and probabilities.

Statistics supplies many tools to managerial economics. Suppose forecasting has to be done. For this purpose, trend projections are used. Similarly, multiple regression technique is used. In managerial economics, measures of central tendency like the mean, median, mode, and measures of dispersion, correlation, regression, least square, estimators are widely used.

Statistical tools are widely used in the solution of managerial problems. For eg. sampling is very useful in data collection. Managerial economics makes use of correlation and multiple regression in business problems involving some kind of cause and effect relationship.

4. Managerial Economics and Accounting:

Managerial economics is closely related to accounting. It is recording the financial operation of a business firm. A business is started with the main aim of earning profit. Capital is invested / employed for purchasing properties such as building, furniture, etc and for meeting the current expenses of the business.

Goods are bought and sold for cash as well as credit. Cash is paid to credit sellers. It is received from credit buyers. Expenses are met and incomes derived. This goes on the daily routine work of the business. The buying of goods, sale of goods, payment of cash, receipt of cash and similar dealings are called business transactions.

The business transactions are varied and multifarious. This has given rise to the necessity of recording business transaction in books. They are written in a set of books in a systematic manner so as to facilitate proper study of their results.

There are three classes of accounts:

(i) Personal account,

(ii) Property accounts, and

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(iii) Nominal accounts.

Management accounting provides the accounting data for taking business decisions. The accounting techniques are very essential for the success of the firm because profit maximisation is the major objective of the firm.

5. Managerial Economics and Mathematics:

Mathematics is another important subject closely related to managerial economics. For the derivation and exposition of economic analysis, we require a set of mathematical tools. Mathematics has helped in the development of economic theories and now mathematical economics has become a very important branch of economics.

Mathematical approach to economic theories makes them more precise and logical. For the estimation and prediction of economic factors for decision making and forward planning, mathematical method is very helpful. The important branches of mathematics generally used by a managerial economist are geometry, algebra etc.

References:-

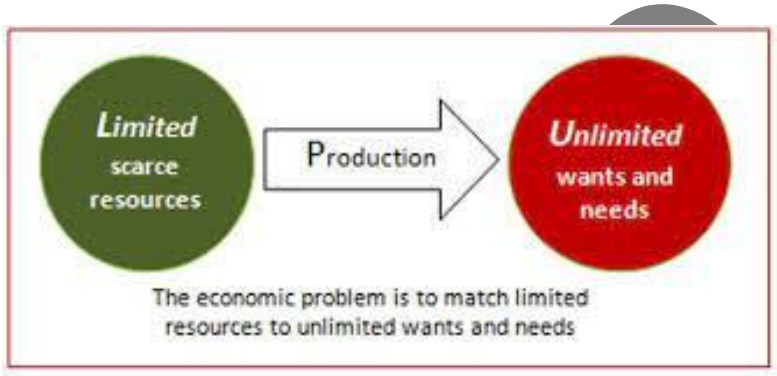
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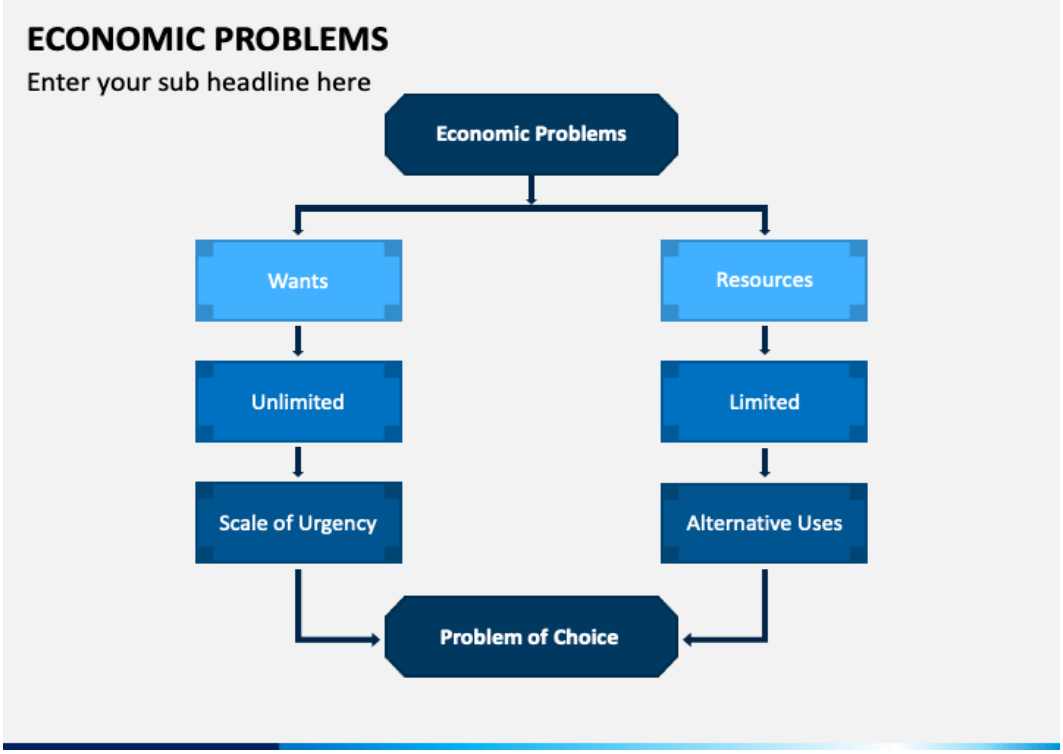
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LECTURE 4

ECONOMIC PROBLEMS: SCARCITY AND CHOICE

We live in a world of scarcity. People want and need variety of goods and services. This applies equally to the poor and the rich people. It implies that human wants are unlimited but the means to fulfill them are limited. At any one time, only a limited amount of goods and services can be produced. This is because the existing supplies of resources are extremely inadequate. These resources are land, labour, capital and entrepreneurship.





These factors of production or inputs are used in producing goods and services that are called economic goods which have a piece. These facts explain scarcity as the principal problem of every society and suggest the Law of Scarcity, The law states that human wants are virtually unlimited and the resources available to satisfy these wants are limited.

The Problem of Choice:

Since are live in a world of scarcity, a society can produce only a small portion of goods and services that its people want. Therefore, scarcity of resources gives rise to the fundamental economic problem of choice. As a society cannot produce enough goods and services to satisfy all the wants of its people, it has to make choices.

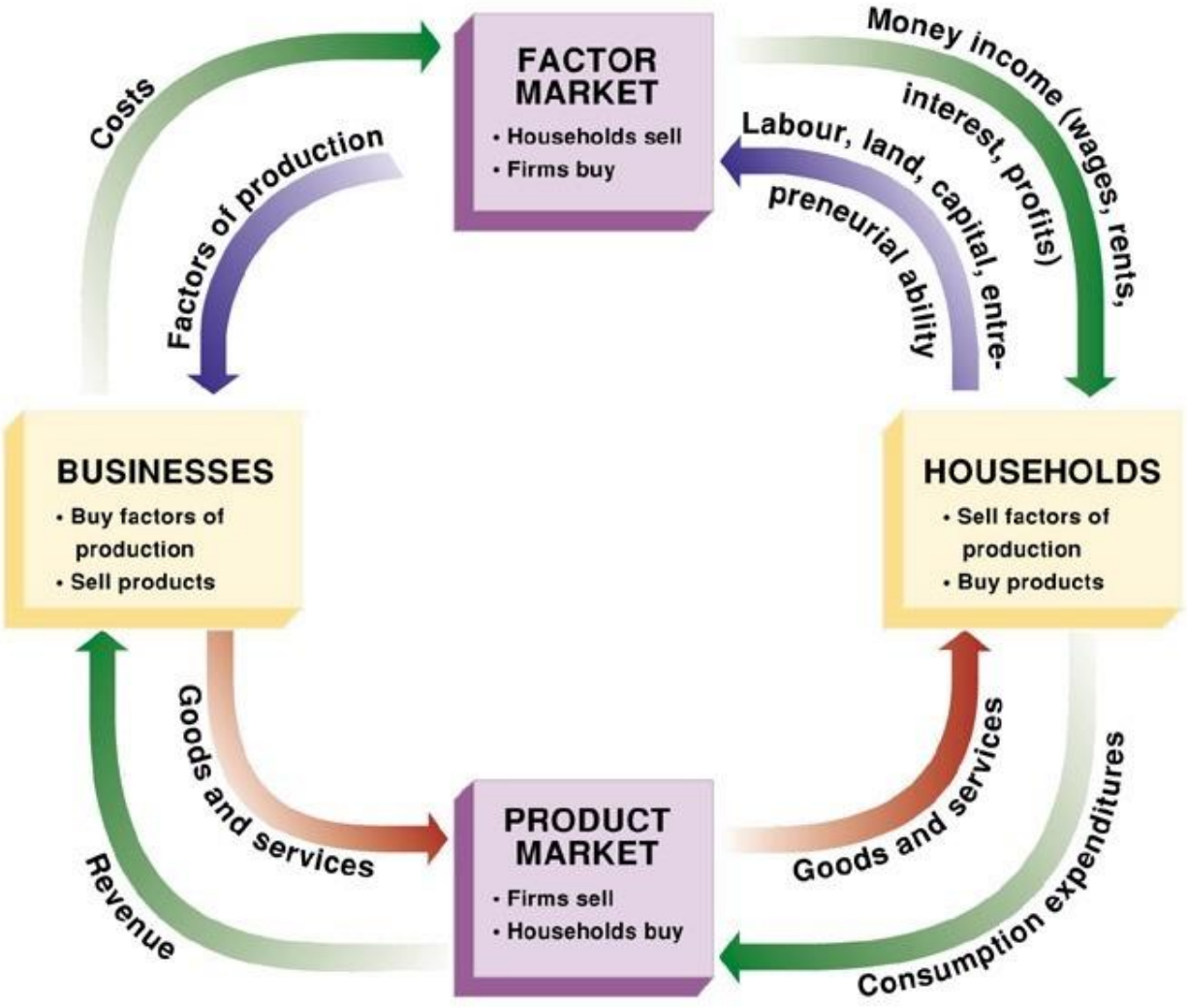
A decision to produce one good requires a decision to produce less of some other good. So choice involves sacrifice. Thus every society is faced with the basic problem of deciding what it is willing to sacrifice to produce the goods it wants the most.

For instance, the more roads a country decided to construct the fever resources will there be for building schools. So the problem of choice arises when there are alternative ways of producing other goods. The sacrifice of the alternative (school buildings) in the production of a good (roads) is called the opportunity cost.

There are a number of problems that can arise from choices that are made by people, whether they are individuals, firms or government. Choices or alternatives (or opportunity cost) are illustrated in terms of a production possibility curve.

CIRCULAR FLOW OF ECONOMIC ACTIVITY

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Households:

Households are consumers. They may be single-individuals or group of consumers taking a joint decision regarding consumption. They may also be families. Their ultimate aim is to satisfy the wants of their members with their limited budgets.

Households are the owners of factors of production—land, labour, capital and entrepreneurial ability. They sell the services of these factors and receive income in return in the form of rent, wages, and interest and profit respectively.

Firms:

The term firm is used interchangeably with the term producer in economics. The decision to manufacture goods and services is taken by a firm. For this purpose, it employs factors

of production and makes payments to their owners. Just as household's consumer goods and services to satisfy their wants, similarly firms produce goods and services to make a profit.

The term 'firm' includes joint stock companies like DCM, TISCO etc., public enterprises like IOC, STC, etc., partnership concerns, cooperative societies, and even small and big trading shops which do not manufacture the commodities they sell.

Government:

The government plays a key role in all types of economic systems—capitalist, socialist and mixed. In a capitalist economy, the government does not interfere. It simply establishes and protects property rights. It sets standards for weights and measures, and the monetary system.

In a socialist economy, the role of the government is very extensive. It owns and regulates the entire production and consumption processes of the economy, and fixes prices of goods and services. In a mixed economy, the government strengthens the market system.

It removes its defects by regulating the activities of the private sector and by providing incentives to it. The government also uses resources to produce goods and services itself which are sold to households and firms. These decision-making agents take economic decisions to produce goods and services and to exchange them in order to consume them for satisfying the wants of the whole economy.

Production, consumption and exchange are the three main activities of the economy. Consumption and production are flows which operate simultaneously and are interrelated and interdependent. Production leads to consumption and consumption necessitates production.

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LECTURE 5

CONCEPT OF INFLATION: -

Definition

- **According to classical writers inflation is a situation when too much money chases too few goods.**
- **It is an imbalance between money supply and Gross Domestic Product.**
- As per Keynes **inflation is an imbalance between aggregate demand and aggregate supply.**
- In an economy, if the aggregate demand For goods and services exceeds aggregate supply, then Prices will go on rising.

What is Inflation and How it Works?

Inflation is an economic indicator that indicates the rate of rising prices of goods and services in the economy. Ultimately it shows the decrease in the buying power of the rupee. It is measured as a percentage.

Types of Inflation: -

What are the 3 Types of Inflation?

The three types of Inflation are Demand-Pull, Cost-Push and Built-in inflation.

1. **Demand-pull Inflation:** It occurs when the demand for goods or services is higher when compared to the production capacity. The difference between demand and supply (shortage) result in price appreciation.
2. **Cost-push Inflation:** It occurs when the cost of production increases. Increase in prices of the inputs (labour, raw materials, etc.) increases the price of the product.
3. **Built-in Inflation:** Expectation of future inflations results in Built-in Inflation. A rise in prices results in higher wages to afford the increased cost of living. Therefore, high wages result in increased cost of production, which in turn has an impact on product pricing. The circle hence continues.

What are the Main Causes of Inflation?

Monetary Policy: It determines the supply of currency in the market. Excess supply of money leads to inflation. Hence decreasing the value of the currency.

Fiscal Policy: It monitors the borrowing and spending of the economy. Higher borrowings (debt), result in increased taxes and additional currency printing to repay the debt.

Demand-pull Inflation: Increases in prices due to the gap between the demand (higher) and supply (lower).

Cost-push Inflation: Higher prices of goods and services due to increased cost of production.

Exchange Rates: Exposure to foreign markets are based on the dollar value. Fluctuations in the exchange rate have an impact on the rate of inflation.

What is the Inflation Rate Formula?

Inflation rate formula is the difference between initial CPI and final CPI divided by initial CPI. The result then multiplied by 100 gives the inflation rate.

Rate of Inflation = (Initial CPI – Final CPI/ Initial CPI) *100

CPI= Consumer Price Index

A **consumer price index** (**CPI**) is a price index, the price of a weighted average market basket of consumer goods and services purchased by households. Changes in measured CPI track changes in prices over time.

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CPI Categories by Weight as of February 2023	
Group	**Weight**
Housing	34.4%
Food	13.5%
Transportation	5.7%
Commodities	21.3%
Health Care	6.6%
Energy	7.1%
Education	4.9%
Other Expenses	6.5%
Total Expenses	**100%**

Source: Bureau of Labor Statistics

What Is Deflation?

Deflation is a phenomenon, which is exactly the opposite of inflation. When deflation occurs, the prices of goods and services fall which in turn increases the purchasing power of the money. It also means that more goods and services can be bought with the same amount of money.

Let us look at some of the points of difference between inflation and deflation.

Inflation	Deflation

Definition	
Inflation is defined as the increase in the price levels of goods and services in an economy	Deflation is termed as the decrease in price levels of goods and services in an economy
Impact on demand	
Demand for products and services increase in inflation	Demand for products and services decrease in deflation.
Impact on National Income	
No impact on national income	National income declines as a result of deflation
Consequences seen	
Distribution of income is not equal as a result of inflation	There is a rise in level of unemployment in the nation as a result of deflation
Is it beneficial?	
Moderate levels of inflation is considered good for the economy	Calculated based on only the amount that is availed
Impact on Purchasing Power of Money	
Decreases the purchasing power of money	Increases the purchasing power of money

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